

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 761

BY EDUCATION COMMITTEE

AN ACT

RELATING TO THE IDAHO WORKFORCE DEVELOPMENT COUNCIL; AMENDING SECTION 33-1633, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE COMPUTER SCIENCE INITIATIVE FOR PUBLIC SCHOOLS AND TO MAKE TECHNICAL CORRECTIONS; REPEALING CHAPTER 47, TITLE 33, IDAHO CODE, RELATING TO STEM SCHOOL DESIGNATION; AMENDING SECTION 63-3029A, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE LIMITATION ON INCOME TAX CREDIT FOR CHARITABLE CONTRIBUTIONS AND TO MAKE TECHNICAL CORRECTIONS; REPEALING SECTION 67-823, IDAHO CODE, RELATING TO COORDINATION OF POLICY AND PROGRAMS RELATED TO SCIENCE, TECHNOLOGY, ENGINEERING AND MATH EDUCATION IN IDAHO; AMENDING SECTION 67-824, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE STEM EDUCATION FUND AND TO MAKE A TECHNICAL CORRECTION; REPEALING SECTION 67-824, IDAHO CODE, RELATING TO THE STEM EDUCATION FUND; REPEALING SECTION 67-825, IDAHO CODE, RELATING TO THE STEM ACTION CENTER ADVISORY BOARD; AMENDING SECTION 67-5303, IDAHO CODE, TO REVISE PROVISIONS REGARDING APPLICATION OF THE PERSONNEL SYSTEM TO STATE EMPLOYEES AND TO MAKE TECHNICAL CORRECTIONS; AMENDING SECTION 72-1201, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE WORKFORCE DEVELOPMENT COUNCIL AND TO MAKE TECHNICAL CORRECTIONS; AMENDING SECTION 72-1203, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE WORKFORCE DEVELOPMENT TRAINING FUND AND TO MAKE TECHNICAL CORRECTIONS; AND DECLARING AN EMERGENCY AND PROVIDING EFFECTIVE DATES.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 33-1633, Idaho Code, be, and the same is hereby amended to read as follows:

33-1633. COMPUTER SCIENCE INITIATIVE FOR PUBLIC SCHOOLS. (1) As used in this section:

(a) "Blended professional development" means to deliver content and training to teachers and administrators in a combination of online and face-to-face.

(b) "Computer science" means the study of principles, applications, and technologies of computing and computers.

(c) "Council" means the workforce development council established in section 72-1201, Idaho Code.

(2) The ~~STEM action center~~ council, the state board of education, and the state department of education shall collaborate to develop and implement a computer science initiative for public schools by:

(a) ~~Adopting~~ Maintaining computer science content standards ~~in 2016~~ aligned with nationally recognized computer science education standards with input from Idaho educators and industries ~~for implementation in the 2017-2018 school year;~~

(b) Providing for professional development in teaching computer science by:

- (i) Developing resources for teachers and administrators relating to teaching computational thinking;
- (ii) Providing statewide, regional, online, and blended professional development opportunities for school district staff;
- (iii) Partnering with entities such as the Idaho digital learning academy, public higher education institutions, and industry to develop, deliver, and provide professional development in computer science for teachers; and
- (iv) Distributing grants to school districts and charter schools that may be used to provide incentives for teachers to pursue training in computer science or earn a computer science endorsement;

(c) Maintaining, using, and enhancing access to an online portal or repository of instructional resources that:

- (i) Is available for public school districts and public charter schools to use as a resource;
- (ii) Includes high-quality computer science instructional resources that are designed to teach K-12 students computational thinking skills and are in alignment with the state computer science content standards;
- (iii) Leverages existing online resources and portals developed by state and governmental entities; and
- (iv) Allows for collaborative contribution and sharing of resources by teachers, administrators, parents, and students;

(d) Ensuring that the state department of education and the Idaho digital learning academy evaluate providers of comprehensive computer science instructional solutions and provide research, support, and guidance on implementing solutions for computer science courses or programs aligned with the state computer science content standards;

(e) Creating opportunities for schools to partner with local companies to provide for student and teacher mentoring and internships in the computer science field;

(f) Communicating and supporting computer science initiatives, programs, events, training, and other promotions throughout the state for the benefit of school districts, students, parents, and local communities; and

(g) Creating equitable access to computer science resources and programs aligned with the state computer science content standards for teachers, administrators, and students throughout the state.

(3) ~~The STEM action center~~ council, the state board of education, and the state department of education shall, when economical and beneficial, leverage existing state resources and systems to effectively and efficiently carry out the directives of this computer science initiative for public schools.

(4) ~~The STEM action center board~~ executive director of the council may select one (1) or more providers through a request for proposals process to provide a comprehensive computer science solution for public school districts and public charter schools to implement.

1 (5) The ~~STEM action center~~ council, the division of career technical
2 education, and industry shall collaborate to create technical secondary and
3 postsecondary courses of study in areas related to computer science that
4 meet workforce needs.

5 (6) The ~~STEM action center~~ council shall collaborate with the state
6 board of education, division of career technical education, the state de-
7 partment of education, public higher education institutions, and industry
8 to develop a communication plan related to the computer science initiative.

9 (7) The ~~STEM action center~~ council and the state board of education
10 shall provide an annual report to the legislature on the status of this ini-
11 tiative.

12 SECTION 2. That Chapter 47, Title 33, Idaho Code, be, and the same is
13 hereby repealed.

14 SECTION 3. That Section 63-3029A, Idaho Code, be, and the same is hereby
15 amended to read as follows:

16 63-3029A. INCOME TAX CREDIT FOR CHARITABLE CONTRIBUTIONS -- LIMITA-
17 TION. At the election of the taxpayer, there shall be allowed, subject to
18 the applicable limitations provided herein, as a credit against the income
19 tax imposed by chapter 30, title 63, Idaho Code, an amount equal to fifty
20 percent (50%) of the aggregate amount of charitable contributions made by
21 such taxpayer during the year to a nonprofit corporation, fund, foundation,
22 trust, or association organized and operated exclusively for the benefit
23 of institutions of higher learning located within the state of Idaho, in-
24 cluding a university-related research park, to nonprofit private or public
25 institutions of elementary, secondary, or higher education or their founda-
26 tions located within the state of Idaho, to Idaho education public broadcast
27 system foundations within the state of Idaho, to the Idaho state historical
28 society or its foundation, to the council for the deaf and hard of hearing,
29 to the developmental disabilities council, to the commission for the blind
30 and visually impaired, to the commission on Hispanic affairs, to the state
31 independent living council, to the Idaho commission for libraries and to
32 public libraries or their foundations and library districts or their founda-
33 tions located within the state of Idaho, ~~to the Idaho STEM action center,~~
34 to nonprofit public or private museums or their foundations located within
35 the state of Idaho, to residency programs accredited by the accreditation
36 council for graduate medical education or the American osteopathic associa-
37 tion or their designated nonprofit support organizations based in Idaho and
38 devoted to training residents in Idaho and to dedicated accounts within the
39 Idaho community foundation inc. that exclusively support the charitable
40 purposes otherwise qualifying for the tax credit authorized under the pro-
41 visions of this section.

42 (1) In the case of a taxpayer other than a corporation, the amount al-
43 lowable as a credit under this section for any taxable year shall not exceed
44 fifty percent (50%) of such taxpayer's total income tax liability imposed by
45 section 63-3024, Idaho Code, for the year, or five hundred dollars (\$500),
46 whichever is less.

47 (2) In the case of a corporation, the amount allowable as a credit un-
48 der this section for any taxable year shall not exceed ten percent (10%) of

1 such corporation's total income or franchise tax liability imposed by sec-
 2 tions 63-3025 and 63-3025A, Idaho Code, for the year, or five thousand dol-
 3 lars (\$5,000), whichever is less.

4 For the purposes of this section, "contribution" means monetary dona-
 5 tions reduced by the value of any benefit received in return such as food, en-
 6 tertainment, or merchandise.

7 For the purposes of this section, "institution of higher learning"
 8 means only an educational institution located within this state meeting all
 9 of the following requirements:

10 (a) It maintains a regular faculty and curriculum and has a regularly
 11 enrolled body of students in attendance at the place where its educa-
 12 tional activities are carried on.

13 (b) It regularly offers education above the twelfth grade.

14 (c) It is accredited by the northwest commission on colleges and uni-
 15 versities.

16 For the purposes of this section, a "nonprofit institution of secondary
 17 or higher education" means a private nonprofit secondary or higher educa-
 18 tional institution located within the state of Idaho, ~~which that~~ is accred-
 19 ited by the northwest commission on colleges and universities, or accredited
 20 by a body approved by the state board of education. A "nonprofit private in-
 21 stitution of elementary education" means a private nonprofit elementary ed-
 22 ucational institution located within the state of Idaho and accredited by
 23 the state board of education pursuant to section 33-119, Idaho Code.

24 For the purposes of this section, a nonprofit corporation, fund, foun-
 25 dation, trust, or association that invests contributions in an endowment or
 26 otherwise shall be subject to the standards of care imposed under section
 27 33-5003, Idaho Code.

28 SECTION 4. That Section [67-823](#), Idaho Code, be, and the same is hereby
 29 repealed.

30 SECTION 5. That Section 67-824, Idaho Code, be, and the same is hereby
 31 amended to read as follows:

32 67-824. STEM EDUCATION FUND. (1) There is hereby created in the state
 33 treasury the STEM education fund to support the programs and priorities of
 34 the state in advancing science, technology, engineering, and mathematics
 35 education. ~~The STEM education fund may accept private contributions, moneys~~
 36 ~~from other public agencies or moneys from any other source. The moneys shall~~
 37 ~~be used solely for the purposes provided in section 67-823, Idaho Code, and~~
 38 ~~be expended and accounted for as provided by law. All expenditures from the~~
 39 ~~STEM education fund must be approved by the Idaho STEM action center advisory~~
 40 ~~board.~~

41 (2) On July 1, 2026, or as soon thereafter as practicable, but no later
 42 than July 31, 2026, the state controller shall transfer all moneys in the
 43 STEM education fund established in this section to the workforce development
 44 training fund established in section 72-1203, Idaho Code.

45 SECTION 6. That Section [67-824](#), Idaho Code, be, and the same is hereby
 46 repealed.

1 SECTION 7. That Section [67-825](#), Idaho Code, be, and the same is hereby
2 repealed.

3 SECTION 8. That Section 67-5303, Idaho Code, be, and the same is hereby
4 amended to read as follows:

5 67-5303. APPLICATION TO STATE EMPLOYEES. All departments of the state
6 of Idaho and all employees in such departments, except those employees
7 specifically defined as nonclassified, shall be classified employees who
8 are subject to this chapter and to the system of personnel administration
9 it prescribes. All nonclassified employees are subject to conformity with
10 classified positions as set forth in section 59-1603, Idaho Code. Nonclas-
11 sified employees shall be:

12 (a) Members of the state legislature and all other officers of the state
13 of Idaho elected by popular vote and persons appointed to fill vacancies in
14 elective offices and employees of the state legislature.

15 (b) Members of statutory boards and commissions and heads of depart-
16 ments appointed by and serving at the pleasure of the governor, deputy di-
17 rectors appointed by the director of a department, and members of advisory
18 boards and councils appointed by the departments.

19 (c) All employees and officers in the office, and at the residence, of
20 the governor; and all employees and officers in the offices of the lieutenant
21 governor, secretary of state, attorney general, state treasurer, state con-
22 troller, and state superintendent of public instruction.

23 (d) Except as otherwise provided by law, one (1) declared position des-
24 ignated by the appointing authority of a participating department, in addi-
25 tion to those declared to be nonclassified by other provisions of law.

26 (e) Part-time professional consultants who are paid on a fee basis for
27 any form of legal, medical, or other professional service and who are not en-
28 gaged in the performance of administrative duties for the state.

29 (f) Judges, temporary referees, receivers, and jurors.

30 (g) All employees of the Idaho supreme court, Idaho court of appeals,
31 and district courts.

32 (h) All employees of the Idaho state bar.

33 (i) Assistant attorneys general attached to the office of the attorney
34 general.

35 (j) Officers, members of the teaching staffs of state higher educa-
36 tional institutions, the professional staffs of the office of the state
37 board of education and the Idaho department of education administered by the
38 board of regents and the board of education, all professional staff of the
39 public charter school commission, and the professional staffs of the Idaho
40 division of career technical education and vocational rehabilitation admin-
41 istered by the state board for career technical education. "Teaching staff"
42 includes teachers, coaches, resident directors, librarians, and those prin-
43 cipally engaged in academic research. The word "officer" means presidents,
44 vice presidents, deans, directors, or employees in positions designated by
45 the state board who receive an annual salary of not less than step A of the pay
46 grade equivalent to three hundred fifty-five (355) Hay points in the state
47 compensation schedule. In consultation with the Idaho division of human
48 resources, the state board of education shall implement policies and pro-

cedures for nonclassified employees to conform with section 59-1603, Idaho Code.

(k) Employees of the military division.

(l) Patients, inmates, or students employed in a state institution.

(m) Temporary employees.

(n) All employees and officers of the following named commodity commissions, and all employees and officers of any commodity commission created hereafter: the Idaho potato commission, as provided in chapter 12, title 22, Idaho Code; the Idaho honey commission, as provided in chapter 28, title 22, Idaho Code; the Idaho bean commission, as provided in chapter 29, title 22, Idaho Code; the Idaho hop grower's commission, as provided in chapter 31, title 22, Idaho Code; the Idaho wheat commission, as provided in chapter 33, title 22, Idaho Code; the Idaho pea and lentil commission, as provided in chapter 35, title 22, Idaho Code; the Idaho apple commission, as provided in chapter 36, title 22, Idaho Code; the Idaho cherry commission, as provided in chapter 37, title 22, Idaho Code; the Idaho mint commission, as provided in chapter 38, title 22, Idaho Code; the Idaho sheep and goat health board, as provided in chapter 1, title 25, Idaho Code; the state brand inspector, and all district supervisors, as provided in chapter 11, title 25, Idaho Code; the Idaho beef council, as provided in chapter 29, title 25, Idaho Code; and the Idaho dairy products commission, as provided in chapter 31, title 25, Idaho Code.

(o) All inspectors of the fresh fruit and vegetable inspection service of the Idaho department of agriculture, except those positions involved in the management of the program.

(p) All employees of correctional industries within the department of correction.

(q) All deputy administrators and wardens employed by the department of correction. Deputy administrators are defined as only the deputy administrators working directly for the nonclassified division administrators under the director of the department of correction.

(r) All public information positions, with the exception of secretarial positions, in any department.

(s) Any division administrator and all executive employees.

(t) Any regional administrator or division administrator in the department of environmental quality.

(u) All employees of the division of financial management, ~~all employees of the STEM action center~~, all employees of the office of species conservation, all employees of the office of drug policy, and all employees of the office of energy and mineral resources.

(v) All employees of the Idaho food quality assurance institute.

(w) All employees of the office of the state appellate public defender, pursuant to chapter 59, title 19, Idaho Code, and the office of the state public defender, pursuant to chapter 60, title 19, Idaho Code.

(x) All quality assurance specialists or medical investigators of the Idaho board of medicine.

(y) All pest survey and detection employees and their supervisors hired specifically to carry out activities under the Idaho plant pest act, chapter 20, title 22, Idaho Code, including but not limited to pest survey, detec-

tion, and eradication, except those positions involved in the management of the program.

(z) All medical directors employed by the department of health and welfare who are engaged in the practice of medicine, as defined by section 54-1803, Idaho Code, at a state hospital or other treatment facility managed and operated by the department of health and welfare.

(aa) All hearing officers and all other employees of the office of administrative hearings, as provided for in chapter 52, title 67, Idaho Code.

(bb) All attorneys employed by the division of occupational and professional licenses.

SECTION 9. That Section 72-1201, Idaho Code, be, and the same is hereby amended to read as follows:

72-1201. CREATION OF WORKFORCE DEVELOPMENT COUNCIL -- COMPOSITION -- APPOINTMENT -- EXECUTIVE DIRECTOR. (1) There is hereby established in the executive office of the governor the workforce development council. Members of the council and an executive director shall be appointed by and serve at the pleasure of the governor. The governor shall prescribe the structure, duties, and functions of the council, which shall include but not be limited to the following:

(a) To serve as the state's coordinating body on matters related to workforce development policy and programs by engaging employer partners in identifying workforce gaps and talent development strategies;

(b) To develop and provide oversight of procedures, criteria, and performance measures for the workforce development training fund established under section 72-1203, Idaho Code; ~~and~~

(c) To serve as the state workforce ~~investment~~ development board in accordance with section 101 of the federal workforce innovation and opportunity act, 29 U.S.C. 3101 et seq., as amended, and federal regulations promulgated thereunder; ~~and~~

(d) Until June 30, 2036, to coordinate and promote science, technology, engineering, and mathematics (STEM) education, skills training, and workforce alignment across education, industry, and government, including:

(i) To support statewide STEM initiatives, including the integration of project-based and work-based learning opportunities;

(ii) To provide for professional development aligned with career readiness and industry needs; and

(iii) To collaborate with public and private entities to support STEM education through funding, in-kind contributions, and programmatic partnerships in accordance with the provisions of subsection (2) of this section.

(2) Entities that provide contributions for special projects permitted in subsection (1) (d) (iii) of this section shall provide no less than fifty percent (50%) of funding for projects approved by the council. Contributions such as materials, personnel, supplies, physical facilities, or services may be considered as all or part of the funding provided by the entity.

~~(2)~~ (3) The council may appoint special committees in connection with this section.

1 ~~(3)~~ (4) The council may apply for and accept grants and contributions of
2 funds from any public or private source.

3 ~~(4)~~ (5) The executive director is authorized to hire and supervise sup-
4 port staff consistent with the mission and priorities of the council. The
5 executive director shall be a nonclassified employee exempt from the provi-
6 sions of chapter 53, title 67, Idaho Code. Support staff shall be classified
7 employees under the provisions of chapter 53, title 67, Idaho Code.

8 ~~(5)~~ (6) Members of the council and any special committees who are not
9 state employees shall be compensated for actual and necessary expenses as
10 provided by section 59-509(b), Idaho Code.

11 (7) The council shall report annually to the governor and the joint
12 finance-appropriations committee on commitments and expenditures made from
13 the general fund, along with performance metrics, relating to the provisions
14 of subsection (1) (d) of this section for the preceding fiscal year and the
15 results of the activities, including:

16 (a) The number of educators and out-of-school professionals who re-
17 ceived professional development in the areas of STEM, including educa-
18 tor externships funded by the council;

19 (b) The number of participants in STEM events supported by the council
20 and the results of surveys conducted before such events and after such
21 events; and

22 (c) The alignment of STEM courses and postsecondary programs to the de-
23 mand for STEM skills and careers in Idaho.

24 SECTION 10. That Section 72-1203, Idaho Code, be, and the same is hereby
25 amended to read as follows:

26 72-1203. WORKFORCE DEVELOPMENT TRAINING FUND. (1) There is estab-
27 lished in the state treasury a special trust fund, separate and apart from
28 all other public funds of this state, to be known as the workforce develop-
29 ment training fund, hereinafter "training fund." Except as provided herein,
30 all proceeds from the training tax defined in subsection (7) of this sec-
31 tion shall be paid into the training fund. The state treasurer shall be the
32 custodian of the training fund and shall invest said moneys in accordance
33 with law. Any interest earned on the moneys in the training fund shall be de-
34 posited in the training fund. Moneys in the training fund shall be disbursed
35 in accordance with the directions of the council.

36 (2) All moneys in the training fund are appropriated to the council for
37 expenditure in accordance with the provisions of this section. The purpose
38 of the training fund is to provide or expand training and retraining oppor-
39 tunities in an expeditious manner that would not otherwise exist for Idaho's
40 workforce. The training fund is intended to supplement but not to supplant
41 or compete with moneys available through existing training programs. The
42 moneys in the training fund shall be used for the following purposes:

43 (a) To provide training and retraining for skills necessary for spe-
44 cific economic opportunities and industrial expansion initiatives;

45 (b) To provide innovative training solutions to meet industry-specific
46 workforce needs or local workforce challenges;

47 (c) To provide public information and outreach on career education and
48 workforce training opportunities, including existing education and
49 training programs and services not funded by the training fund; and

(d) To support the programs and priorities of the state in advancing science, technology, engineering, and mathematics education and skills training. Any obligations incurred by the STEM education fund as it existed on July 1, 2026, shall be payable from the workforce development training fund established in this section; and

~~(d)~~ (e) For all administrative expenses incurred by the council, including those expenses associated with the collection of the training tax and any other administrative expenses associated with the training fund.

(3) Expenditures from the training fund for purposes authorized in ~~paragraphs (a), (b) and (c) of subsection (2) (a), (b), (c), and (d) of this~~ section shall be approved by the council based on procedures, criteria, and performance measures established by the council.

(4) Expenditures from the training fund for purposes authorized in ~~paragraph (d) of subsection (2) (e) of this~~ section shall be approved by the executive director. The executive director shall pay all approved expenditures as long as the training fund has a positive balance.

(5) The activities funded by the training fund will be coordinated with similar activities funded by the state division of career technical education.

(6) The council shall report annually to the governor and the joint finance-appropriations committee the commitments and expenditures made from the training fund in the preceding fiscal year and the results of the activities funded by the training fund.

(7) A training tax is hereby imposed on all covered employers required to pay contributions pursuant to section 72-1350, Idaho Code, with the exception of deficit-rated employers who have been assigned a taxable wage rate from rate class six pursuant to section 72-1350, Idaho Code. The training tax rate shall be equal to three percent (3%) of the taxable wage rate then in effect for each eligible standard-rated and deficit-rated employer. The training tax shall be due and payable at the same time and in the same manner as contributions.

(8) The provisions of chapter 13, title 72, Idaho Code, which apply to the payment and collection of contributions, also apply to the payment and collection of the training tax, including the same calculations, assessments, methods of payment, penalties, interest, costs, liens, injunctive relief, collection procedures, and refund procedures. The director of the department of labor is granted all rights, authority, and prerogatives necessary to administer the provisions of this subsection. Moneys collected from an employer delinquent in paying the training tax shall first be applied to any penalties and interest imposed pursuant to the provisions of chapter 13, title 72, Idaho Code, and then pro rata to the training fund established in subsection (1) of this section. Any penalties and interest collected pursuant to this subsection shall be paid into the state employment security administrative and reimbursement fund, section 72-1348, Idaho Code, and any penalties or interest refunded under this subsection shall be paid from that same fund. Training taxes paid pursuant to this section shall not be credited to the employer's experience rating account and may not be deducted by any employer from the wages of individuals in its employ. All training taxes shall be deposited in the clearing account of the employment security

1 fund, section 72-1346, Idaho Code, for clearance only and shall not become
2 part of such fund. After clearance, the moneys shall be deposited in the
3 training fund. The director of the department of labor may authorize refunds
4 of training taxes erroneously collected and deposited in the training fund.

5 (9) The training fund may accept private contributions, moneys from
6 other public agencies, and moneys from any other source, which may be used
7 for the purposes authorized in subsection (2) (a), (b), (c), and (d) of this
8 section.

9 SECTION 11. An emergency existing therefor, which emergency is hereby
10 declared to exist, Sections 1, 2, 3, 4, 5, 7, 8, 9, and 10 of this act shall
11 be in full force and effect on and after July 1, 2026. Section 6 of this act
12 shall be in full force and effect on and after October 1, 2026.